SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

November 04, 2026 | 04:17 PM ET

MACRO REGIME: Mixed / Transitional

VIX 16.7 (-0.9 vs 20d) | SPY 20d -0.9% | IWM 20d +2.3% | IWM/SPY trend +3.3%

Leaders: Healthcare (+12.8%), Real Estate (+10.4%), Cons Staples (+10.2%)

Setup Grades

A - Prime Setup (0)	B - Building (3)	C - Early Stage (5)
	SEPN	ALEC
	ASO	BLMN
	AVNT	ATHM
		NAVN
		SONO

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	SEPN	Septerna, Inc.	Biotech Platform Inn	$2.23B	$47.88	$48.22	0.7%	+23.9	YES	YES
B	ASO	Academy Sports an	Consumer Discretiona	$4.17B	$67.69	$67.76	0.1%	+41.6	YES	YES
B	AVNT	Avient Corporatio	Industrial Reshoring	$4.39B	$47.86	$49.08	2.5%	+6.0	YES	YES
C	ALEC	Alector, Inc.	Biotech Immuno-Neuro	$0.25B	$2.28	$2.32	1.8%	+28.7	YES	no
C	BLMN	Bloomin' Brands,	Consumer Recovery Tu	$0.94B	$10.97	$11.28	2.8%	+0.8	YES	no
C	ATHM	Autohome Inc.	China Consumer Digit	$2.59B	$22.49	$22.95	2.0%	-0.4	YES	no
C	NAVN	Navan, Inc.	Enterprise SaaS / Bu	$7.05B	$27.06	$27.61	2.0%	-6.4	YES	no
C	SONO	Sonos, Inc.	Smart Home / Premium	$1.98B	$16.77	$17.94	7.0%	+7.8	YES	no

Not financial advice. Watchlist only - setups have NOT triggered. For informational purposes only. Do your own due diligence.

SEPN

Septerna, Inc.

$47.88

Pivot $48.22 | 0.7% away

RS vs SPY: +23.9%

B BUILDING

$2.23B Cap | 26M Float

Biotechnology - GPCR-Targeted Drug Discovery | Theme: Biotech Platform Innovation | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.55

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$48.22**
% to Pivot	**0.7%**
Days in Base	**7**
Tightness	**4.55 Fair**
52W Hi Prox	**93.7%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**362k <**
Wk2	**274k <**
Wk3 (oldest)	**378k**
Coil Strength	**4.4% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+23.9%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$2.23B**
Float	**26M sh**
P/E (TTM)	**-**
Fwd P/E	**-24.7**
Rev Growth	**22375.6%**
Short %	**14.4%**
Inst. Own	**-**
Target Pr.	**$54.22**

ENTRY TRIGGER

Close above $48.25 on volume >150% of 20-day average (585K+ shares)

Target: $56.00 - measured move from 7-week base depth (~17% upside from pivot)

Stop: $44.00 - below base low and 50-day MA support

CATALYST INTELLIGENCE

EARNINGS

November 09 - Street expects continued operating losses as clinical-stage company burns cash advancing pipeline; consensus EPS around -$0.45 to -$0.50. Revenue recognition is partnership-milestone dependent and highly variable. As a pre-commercial biotech, beat/miss pattern is less relevant than pipeline updates and cash runway commentary. Key focus: clinical trial progress updates and any new partnership announcements.

BUSINESS & POSITION

Septerna is a clinical-stage biotech pioneering GPCR-targeted small molecule therapeutics using its proprietary StaR technology platform, addressing historically undruggable G protein-coupled receptor targets. The company has multiple programs in cardiometabolic and neurological diseases with partnerships validating its platform approach.

FACTOR & THEME

Taps the biotech innovation cycle and platform company premium theme; Healthcare sector is leading (+12.8% over 20d), providing favorable sector tailwind. Peer biotech momentum has been strong with clinical-stage names outperforming as risk appetite returns to the space.

NEWS FLOW

Clinical-stage biotech with RS line at new highs suggests institutional accumulation ahead of potential pipeline catalysts. 14.4% short interest with 8.7 days-to-cover creates squeeze potential on positive news. Catalyst Impact: Earnings (High) - pipeline updates and cash position will drive near-term action; any clinical data readouts would be transformative.

INSTITUTIONAL

Volume dry-up with price holding near highs and RS at 52W high indicates quiet institutional accumulation into the earnings event. High short interest (14.4%) with extended days-to-cover (8.7) sets up asymmetric squeeze potential. No insider buying in last 60 days - baseline for biotech where insiders often have blackout restrictions.

KEY RISK

Thesis invalid on close below $44.00 (base low area) or negative clinical update at earnings; binary pipeline risk is elevated - single trial failure could crater the stock 40%+. High beta (2.2) amplifies downside in risk-off tape.

RS line at new high with Healthcare sector leadership provides favorable backdrop; price within 1% of pivot with earnings catalyst in 5 days creates actionable setup. However, base_tight at 4.55 is loose for A-grade consideration, vol dry-up is not strict (w3 > w1), and the binary nature of biotech earnings adds significant event risk. Disconfirming evidence: forward P/E of -24.7x on negative earnings trajectory means this is pure speculation on pipeline value with no fundamental floor. Conviction: Medium.



ASO

Academy Sports and Outdoors, Inc.

$67.69

Pivot $67.76 | 0.1% away

RS vs SPY: +41.6%

B BUILDING

$4.17B Cap | 61M Float

Specialty Retail - Sporting Goods | Theme: Consumer Discretionary Value Play | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 7.17

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$67.76**
% to Pivot	**0.1%**
Days in Base	**3**
Tightness	**7.17 Fair**
52W Hi Prox	**99.9%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**1377k <**
Wk2	**1175k <**
Wk3 (oldest)	**1441k**
Coil Strength	**4.4% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+41.6%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$4.17B**
Float	**61M sh**
P/E (TTM)	**11.4**
Fwd P/E	**9.6**
Rev Growth	**3.0%**
Short %	**23.4%**
Inst. Own	**-**
Target Pr.	**$60.89**

ENTRY TRIGGER

Close above $67.80 on volume >120% of 20-day average (2.04M+ shares)

Target: $78.00 - measured move from 8-week base (~15% from pivot) plus short squeeze premium

Stop: $62.50 - below prior resistance turned support and 20-day MA

CATALYST INTELLIGENCE

EARNINGS

December 08 - Street consensus: EPS ~$1.75-1.85, revenue ~$1.55B for Q3. Company has been a serial beater - last 4 quarters showed consistent modest beats on both lines. Forward P/E of 9.6x with 17.3% earnings growth is compelling value. Management has maintained guidance through FY, and aggressive buyback program (~$200M remaining authorization) provides EPS support.

BUSINESS & POSITION

Academy Sports operates 285+ sporting goods and outdoor recreation stores across the Southern US, targeting value-conscious consumers with a mix of national brands and private label. The company has demonstrated pricing power and inventory discipline through cycles, with a fortress balance sheet enabling aggressive buybacks.

FACTOR & THEME

Consumer recovery theme with value retail positioning; benefits from outdoor recreation secular trend and gun/ammunition demand cycles. However, Consumer Cyclical sector is not among leaders in current rotation. High short interest (23.4%) creates squeeze fuel if fundamentals continue to surprise. PEG of 0.62 signals deep value relative to growth.

NEWS FLOW

Stock at 52-week high with RS line at new high - classic institutional breakout behavior. 23.4% short interest with 5.7 days-to-cover represents significant squeeze potential. No specific news catalysts in last 30 days, but technical action suggests accumulation ahead of holiday season sell-through data. Catalyst Impact: Earnings (Med) - 34 days out; near-term action driven by technical breakout and short covering.

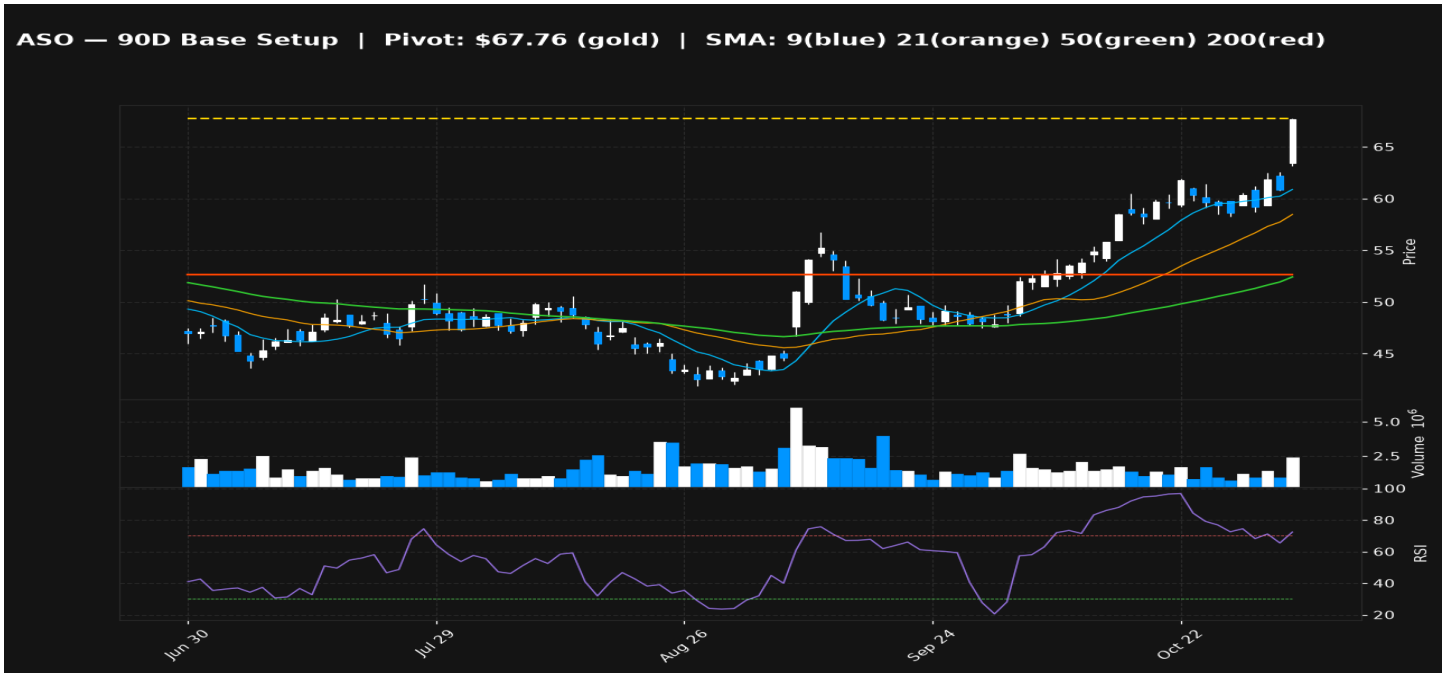
INSTITUTIONAL

The tight coil at 52W highs with volume contraction signals institutional accumulation - large funds building positions quietly. High short interest creates forced buying dynamic on breakout. Analyst target of $60.89 is BELOW current price, suggesting Street is behind the stock's move - incremental upgrades likely. No insider activity in last 60 days.

KEY RISK

Thesis invalid on close back below $62.50 (prior consolidation area) or guidance cut; consumer spending slowdown heading into holiday season is primary fundamental risk. Elevated debt/equity (90.4%) creates leverage risk if comps decelerate.

Textbook setup characteristics: RS line at new high, price pennies from pivot, institutional accumulation evident, high short interest for squeeze fuel, and serial earnings beater with cheap valuation (9.6x forward). However, base_tight at 7.17 is loose, only 3 days in base (needs more consolidation), and vol dry-up is not strict. Earnings catalyst is 34 days out - too far for A-grade urgency. Disconfirming evidence: Consumer Cyclical sector lagging, analyst targets already exceeded suggesting limited near-term upgrade catalyst, and mixed macro regime warrants caution. Conviction: Medium.



AVNT

Avient Corporation

$47.86

Pivot $49.08 | 2.5% away

RS vs SPY: +6.0%

B BUILDING

$4.39B Cap | 91M Float

Specialty Chemicals - Polymer Solutions | Theme: Industrial Reshoring & Lightweighting | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 7.9

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$49.08**
% to Pivot	**2.5%**
Days in Base	**3**
Tightness	**7.90 Fair**
52W Hi Prox	**97.5%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1063k <**
Wk2	**555k <**
Wk3 (oldest)	**1120k**
Coil Strength	**5.1% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+6.0%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.39B**
Float	**91M sh**
P/E (TTM)	**25.9**
Fwd P/E	**13.6**
Rev Growth	**5.8%**
Short %	**6.4%**
Inst. Own	**-**
Target Pr.	**$50.00**

ENTRY TRIGGER

Close above $49.10 on volume >150% of 20-day average (1.23M+ shares) post-earnings

Target: $55.00 - measured move from base plus earnings beat premium (~12% from pivot)

Stop: $45.00 - below 50-day MA and prior support

CATALYST INTELLIGENCE

EARNINGS

November 04 - EARNINGS TODAY - Street consensus: EPS ~$0.85-0.90, revenue ~$850M. Company has shown consistent execution with modest beats. Forward P/E of 13.6x with 22.8% earnings growth is attractive relative to specialty chemical peers. Management has maintained full-year guidance; any raise today would be bullish catalyst.

BUSINESS & POSITION

Avient is a specialty polymer solutions provider serving packaging, healthcare, automotive, and consumer markets with colorants, additives, and engineered materials. The company has pivoted toward higher-margin sustainable solutions and composites, benefiting from lightweighting trends in automotive/aerospace and reshoring of manufacturing.

FACTOR & THEME

Reshoring and industrial automation theme exposure; lightweighting materials benefit from EV adoption and fuel efficiency mandates. Basic Materials sector neutral in current rotation. 22.8% earnings growth with reasonable PEG (1.22) suggests growth at reasonable price. Composites demand tied to aerospace recovery cycle.

NEWS FLOW

Earnings release today is the immediate catalyst - stock at 97.5% of 52W high with RS at new high suggests positioning for positive print. Recent industrial data points (ISM, factory orders) have been mixed but composites and sustainable solutions verticals remain strong. Catalyst Impact: Earnings (High) - same-day binary event with guidance implications for Q4.

INSTITUTIONAL

Volume dry-up into earnings with RS at highs indicates institutional confidence in the print. 6.4% short interest is modest - no major squeeze dynamic but also no crowded long positioning. No insider buying in last 60 days - neutral signal for industrial company.

KEY RISK

Thesis invalid on close below $45.00 or earnings miss/guidance cut today; cyclical industrial exposure means recession fears would pressure multiple. Elevated debt/equity (76.6%) is manageable but limits flexibility in downturn.

RS line at new high with earnings catalyst TODAY creates actionable setup; valuation reasonable at 13.6x forward with 22.8% growth. However, base_tight at 7.9 is very loose (needs tighter consolidation), only 3 days in base, and same-day earnings is binary risk that precludes position entry without seeing the print. Disconfirming evidence: Basic Materials not leading, vol dry-up not strict, and mixed macro regime suggests caution on cyclical industrials. Wait for post-earnings reaction before acting. Conviction: Medium.



ALEC

Alector, Inc.

$2.28

Pivot $2.32 | 1.8% away

RS vs SPY: +28.7%

C EARLY STAGE

$0.25B Cap | 76M Float

Biotechnology - Neurodegeneration | Theme: Biotech Immuno-Neurology | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.49

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$2.32**
% to Pivot	**1.8%**
Days in Base	**8**
Tightness	**2.49 Fair**
52W Hi Prox	**82.6%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**1285k <**
Wk2	**2530k <**
Wk3 (oldest)	**2927k**
Coil Strength	**56.1% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+28.7%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$0.25B**
Float	**76M sh**
P/E (TTM)	**-**
Fwd P/E	**-3.1**
Rev Growth	**-57.8%**
Short %	**9.7%**
Inst. Own	**-**
Target Pr.	**$3.90**

ENTRY TRIGGER

Close above $2.35 on volume >150% of 20-day average (5.0M+ shares)

Target: $2.76 - 52-week high retest

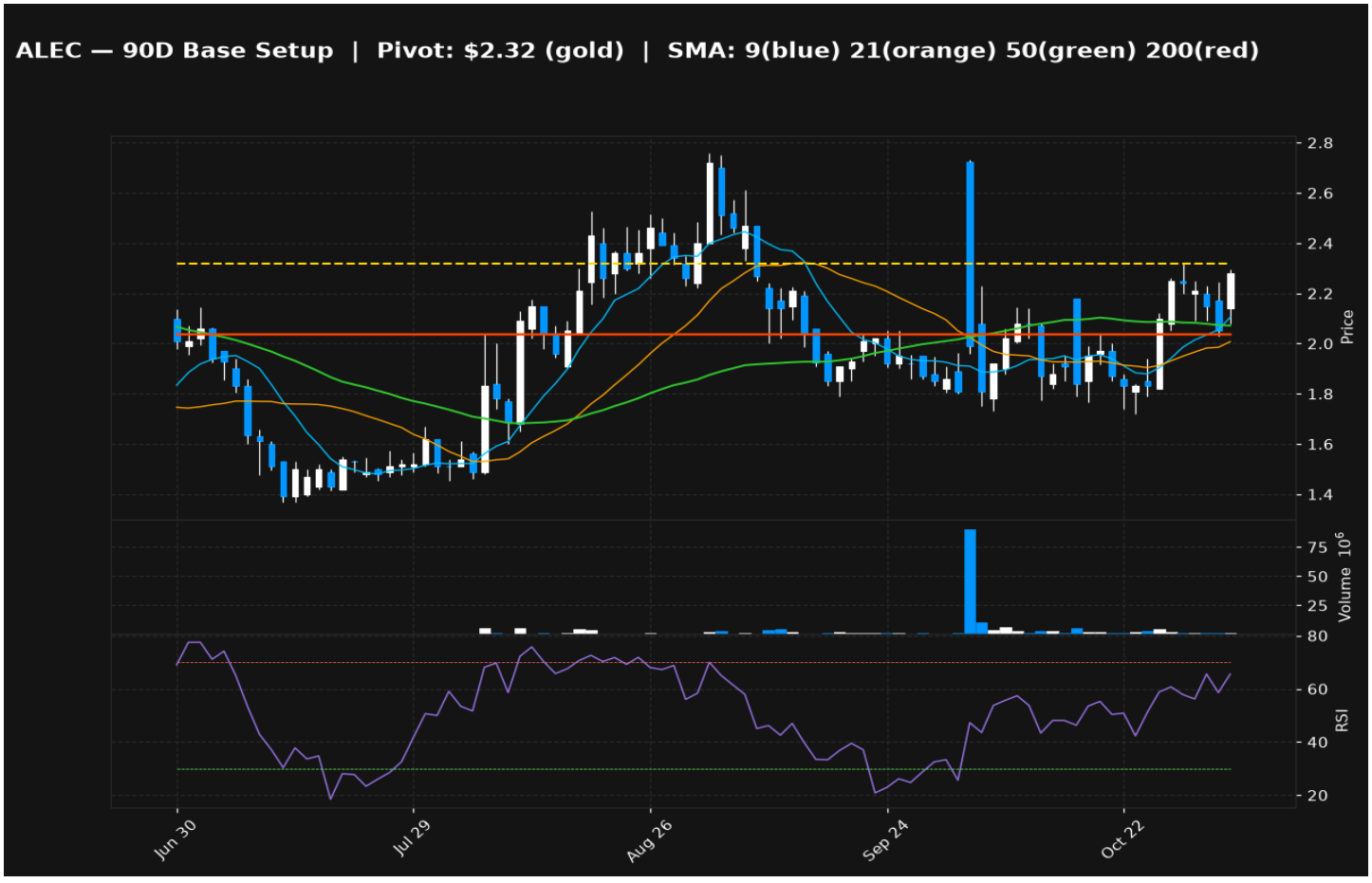
Stop: $1.95 - below 50-day MA and base low

CATALYST INTELLIGENCE

EARNINGS

November 05

Strict volume dry-up confirmed and earnings tomorrow creates potential catalyst, but RS line NOT at new high, micro-cap with negative book value (P/B -25.6x), severe cash burn (-734% op margin), and binary clinical-stage risk. Healthcare sector tailwind is positive but structural quality insufficient for higher grade. Conviction: Low.



BLMN

Bloomin' Brands, Inc.

$10.97

Pivot $11.28 | 2.8% away

RS vs SPY: +0.8%

C EARLY STAGE

$0.94B Cap | 83M Float

Restaurants - Casual Dining | Theme: Consumer Recovery Turnaround | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 4.2

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$11.28**
% to Pivot	**2.8%**
Days in Base	**12**
Tightness	**4.20 Fair**
52W Hi Prox	**86.9%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**2252k <**
Wk2	**3286k <**
Wk3 (oldest)	**2671k**
Coil Strength	**15.7% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+0.8%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$0.94B**
Float	**83M sh**
P/E (TTM)	**33.2**
Fwd P/E	**10.1**
Rev Growth	**1.3%**
Short %	**16.7%**
Inst. Own	**-**
Target Pr.	**$12.05**

ENTRY TRIGGER

Close above $11.30 on volume >120% of 20-day average (3.0M+ shares)

Target: $12.63 - 52-week high retest

Stop: $9.80 - below 50-day MA and base low

CATALYST INTELLIGENCE

EARNINGS

November 06

Earnings in 2 days with forward P/E of 10.1x offers value angle, but RS line NOT at new high (only +0.8% vs SPY), extreme debt/equity of 442%, casual dining industry facing structural headwinds from GLP-1 and value competition. 16.7% short interest creates squeeze potential but fundamentals don't support sustained move. Conviction: Low.



ATHM

Autohome Inc.

$22.49

Pivot $22.95 | 2.0% away

RS vs SPY: -0.4%

C EARLY STAGE

$2.59B Cap | 58M Float

Internet Content & Information - China Auto | Theme: China Consumer Digital | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 4.5

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$22.95**
% to Pivot	**2.0%**
Days in Base	**11**
Tightness	**4.50 Fair**
52W Hi Prox	**85.6%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**398k <**
Wk2	**315k <**
Wk3 (oldest)	**426k**
Coil Strength	**6.7% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**-0.4%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$2.59B**
Float	**58M sh**
P/E (TTM)	**19.6**
Fwd P/E	**16.9**
Rev Growth	**-31.9%**
Short %	**4.7%**
Inst. Own	**-**
Target Pr.	**$21.25**

ENTRY TRIGGER

Close above $23.00 on volume >120% of 20-day average (672K+ shares)

Target: $26.28 - 52-week high

Stop: $20.50 - below 50-day MA

CATALYST INTELLIGENCE

EARNINGS

November 04

Earnings TODAY but RS line NOT at new high (-0.4% vs SPY), revenue declining -31.9% YoY, and China ADR regulatory/geopolitical risk overhang. Communication Services sector is lagging (-6.3%). Setup score of 35 is lowest in cohort. No alpha angle despite cheap valuation (P/S 0.5x). Conviction: Low.



NAVN

Navan, Inc.

$27.06

Pivot $27.61 | 2.0% away

RS vs SPY: -6.4%

C EARLY STAGE

$7.05B Cap | 145M Float

Software - Corporate Travel & Expense Management | Theme: Enterprise SaaS / Business Travel Recovery | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tig

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$27.61**
% to Pivot	**2.0%**
Days in Base	**15**
Tightness	**3.87 Fair**
52W Hi Prox	**87.6%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**2030k <**
Wk2	**1965k <**
Wk3 (oldest)	**2624k**
Coil Strength	**22.6% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**-6.4%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$7.05B**
Float	**145M sh**
P/E (TTM)	**-**
Fwd P/E	**67.6**
Rev Growth	**35.4%**
Short %	**36.1%**
Inst. Own	**-**
Target Pr.	**$30.80**

ENTRY TRIGGER

Close above $27.65 on volume >120% of 20-day average (3.73M+ shares)

Target: $30.88 - 52-week high

Stop: $24.00 - below 50-day MA and base low

CATALYST INTELLIGENCE

EARNINGS

December 14

36.1% short interest is highest in cohort creating theoretical squeeze setup, but RS line lagging market (-6.4%), Technology sector is worst performer (-10.8%), and no catalyst for 40 days. Negative operating margins with forward P/E of 67.6x on speculative profitability timeline. Unprofitable tech growth facing headwinds in current rotation. Conviction: Low.



SONO

Sonos, Inc.

$16.77

Pivot $17.94 | 7.0% away

RS vs SPY: +7.8%

C EARLY STAGE

$1.98B Cap | 98M Float

Consumer Electronics - Premium Audio | Theme: Smart Home / Premium Consumer | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 3.56

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$17.94**
% to Pivot	**7.0%**
Days in Base	**18**
Tightness	**3.56 Fair**
52W Hi Prox	**84.6%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1494k <**
Wk2	**1099k <**
Wk3 (oldest)	**1519k**
Coil Strength	**1.6% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+7.8%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$1.98B**
Float	**98M sh**
P/E (TTM)	**37.3**
Fwd P/E	**12.9**
Rev Growth	**8.8%**
Short %	**17.6%**
Inst. Own	**-**
Target Pr.	**$18.62**

ENTRY TRIGGER

Close above $17.95 on volume >120% of 20-day average (2.0M+ shares)

Target: $19.82 - 52-week high

Stop: $15.50 - below 50-day MA

CATALYST INTELLIGENCE

EARNINGS

November 10

7% to pivot is furthest from breakout in cohort - setup needs more time to develop. RS line NOT at new high despite positive RS vs SPY, Technology sector lagging badly (-10.8%), and 17.6% short interest cuts both ways. App software debacle in 2024 created ongoing brand reputation headwind. Earnings in 6 days could catalyze but structural setup not ready. Conviction: Low.

